



Cambridge O Level

ECONOMICS

2281/13

Paper 1 Multiple Choice

October/November 2024

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

Done

This document has **12** pages. Any blank pages are indicated.



unlimited wants but limited resources

1 What is the cause of the economic problem facing the global market for gold?

A Consumer wants for gold are limited. *no, unlimited*

✓ B Gold is a limited resource. *correct*

C Only governments can sell gold. *irrelevant to economic problem*

D There is an unlimited supply of gold. *No, limited*

2 The management of an airline decided to replace its aeroplanes with more technologically advanced aircraft. At the same time, the company retrained its pilots.

Which factors of production has the airline improved?

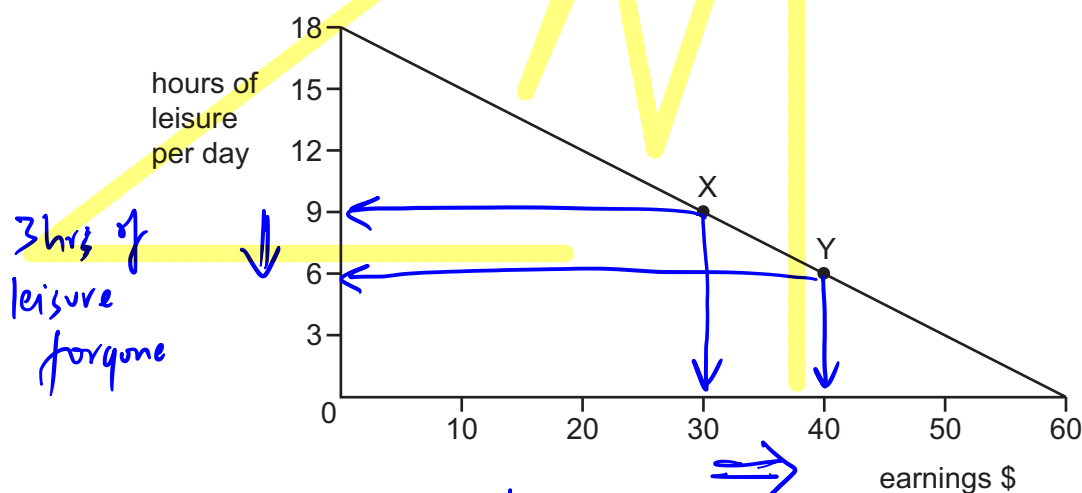
✓ A capital and labour

B capital and land

C labour and enterprise

D land and enterprise

3 The diagram shows the choices for an individual between leisure and earnings.



What is the opportunity cost to the individual of the extra earnings when moving from position X to position Y?

A \$10

B \$40

✓ C 3 hours of leisure per day

D 6 hours of leisure per day

- 4 The world price of cocoa has been falling while the prices of products made from cocoa have been rising.

Which combination might explain this?

Price ↓

	market for cocoa	advertising expenditure on products made from cocoa
A	excess demand	decrease
B	excess supply	decrease
C	excess demand	increase
D	excess supply	increase

Advertising ↑, Demand ↑, Price ↑

excess supply or surplus (S exceeds D) → P ↓

- 5 The table shows the amounts demanded and supplied of tomatoes at different prices. The initial equilibrium is at a price of \$40.

price (\$)	demand (kg)	supply (kg)
10	20	2
20	16	5
30	12	8
* 40	10	10
50	8	12

50% +

3

7.5

12 (New equilibrium)

15

18

The following year, more efficient harvesting means that the supply increases by 50% at each price.

What will happen to the suppliers' total revenue?

- A It will fall by \$10.
- B It will fall by \$40.
- C It will rise by \$10.
- D It will rise by \$200.

Old revenue = $40 \times 10 = 400$
New revenue = $30 \times 12 = 360$
TR ↓ by \$40

Qd exceeds Qs

- 6 A fall in which variable would help eliminate a market shortage?

- A quantity demanded *Qd ↓, Shortage ↓*
- B price *P ↓, Qd ↑, Shortage ↑*
- C quantity supplied *Qs ↓, Shortage ↑*
- D the number of firms *C ↓, Shortage ↑*

$\% \Delta \text{ in price} = 20\%$

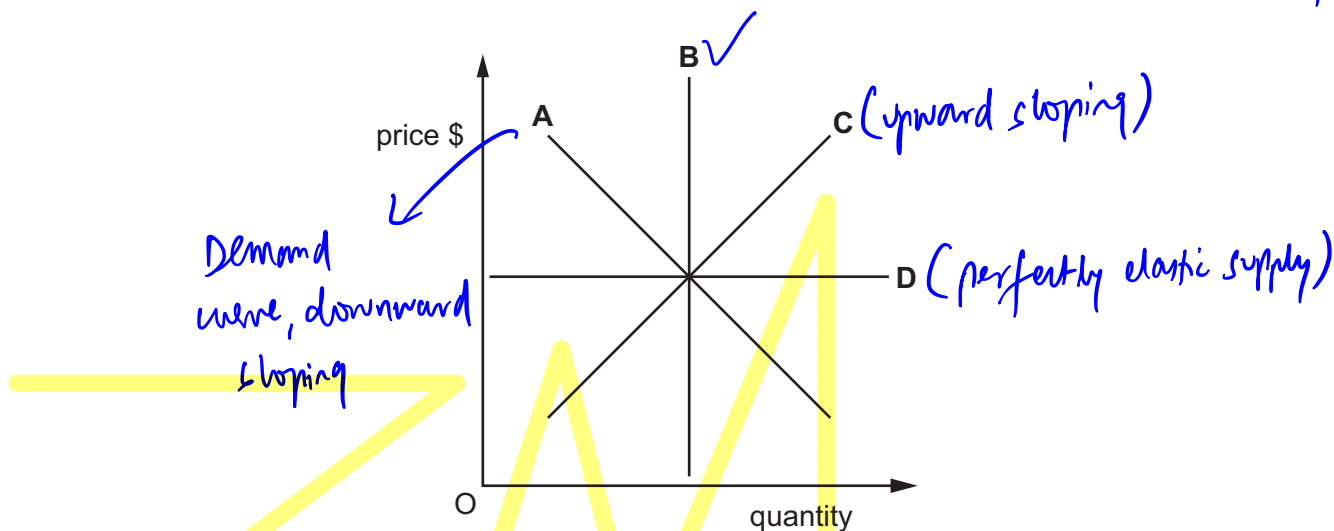
- 7 When the price of meat increased from \$5 to \$6 per kg, Joe decreased his purchase of meat from 40 kg to 20 kg a month.

$50\% = \%$
 $\% \Delta \text{ in QD}$

What was Joe's price elasticity of demand for meat? $= \frac{50}{20} = 2.5$

- A 0.4 B 2.0 ☒ C 2.5 D 20

- 8 In the diagram, which line represents perfectly inelastic supply? (vertical line) ($Q_s = \text{unchanged}$)



- 9 What is external benefit? Benefit to the third party, positive externalities

- A private benefits minus private costs
B private benefits plus social benefits
☒ C social benefits minus private benefits
D social benefits plus social costs

$$SB = PB + EB$$

$$SB - PB = \underline{\underline{EB}}$$

- 10 What is a function of a commercial bank?

- ☒ A accepting deposits (commercial Bank)
B controlling money supply
C issuing notes and coins
D lending money to the government

Central Bank

low inflation rate protects the value of money

high interest rate increases reward on saving, better return

11 Under which circumstances are households more likely to save?

	low inflation rate	high interest rate	unemployment rate
A	high	high	high
B	high	high	low
C	low	high	low
D	low	low	low

low unemployment means high employment, means high income, thus higher saving.

12 A country wishes to increase the supply of nurses.

What would be the most effective way of achieving this?

A extending the training period for nurses

Training time ↑, S ↓

B improving the working conditions of nurses

More nurses willing to enter the market

C increasing the national minimum wage

surplus of workers

D reducing grants for trainee nurses

higher cost, S ↓

13 Employers based in large cities often pay employees special allowances above standard pay rates.

What is the most likely reason for this?

A Job security and promotion prospects tend to be restricted.

B Living costs and transport costs tend to be high.

It is not, companies are based in large cities

C There are few alternative job opportunities available.

D Trade unions negotiate nationwide wage levels.

↳ This affects standard pay rates

so to compensate this cost, special allowances are given

Then why pay special allowance when there are less alternatives for employees

14 Workers in a country have been concerned about their wages not keeping pace with inflation.

How can trade unions assist workers in getting a pay rise?

A advise the workers to ask individually for a pay rise

(Then what is the point of trade union)

B negotiate on behalf of their members to secure a pay rise

(That's what a trade union does)

C offer to contribute financially to a pay rise

(Not a role of trade union)

D request improved working conditions

(doesn't affect pay)

$$TR = \text{Price} \times \text{Quantity}$$

15 How is total revenue calculated?

- A price divided by the total output $= P/Q$
 B total output divided by the price $= Q/P$
 ✓ C total output multiplied by the price $= Q \times P$
 D total output multiplied by total costs $= Q \times TC$

16 There is a number of cafés selling snacks and drinks in a city centre. Several of these cafés close due to their owners retiring.

What is the likely effect on the prices and profits of the remaining cafés?

	prices	profits
A	decrease	decrease
B	decrease	increase ✓
C	increase ✓	decrease
✓ D	increase ✓	increase ✓

Supply ↓
 P ↑
 less options
 profits ↑

economy as a whole

17 What is a macroeconomic aim of government?

- A equilibrium prices in markets →
 B high wages → Microeconomics
 C low inflation →
 D profit maximisation →
 price stability

18 The table shows earnings and total income tax paid per year.

	earnings \$	total income tax paid \$
60% ↗	5000	1000 ↘ 100%
	8000	2000 ↘ 50%
12.5% ↗	9000	3000

Which type of tax system does this illustrate?

- A indirect | sales tax
 ✓ B progressive | income ↑ rate of tax ↑
 C proportional | same %
 D regressive | indirect tax

Money supply, interest rate and exchange rate

19 What is an example of monetary policy?

- A an increase in government spending
- B an increase in indirect taxation
- C an increase in rules and regulations
- ☒ D an increase in the money supply

(fiscal policy) → Expansionary fiscal policy

} Related to supply

20 What is Gross Domestic Product (GDP) divided by in order to calculate GDP per head?

- A the adult population
- B the dependent population
- ☒ C the total population
- D the working population

→ population

choices ↑: standard of living ↑
AD ↑, output ↑, incomes ↑, employment ↑, Tax revenue,
→ AD ↑ > AS: inflation

21 What is the consequence of economic growth for individuals and for the economy?

	individuals	the economy
A	increase in absolute poverty <i>no</i>	increase in inflation <i>yes</i>
☒ B	increase in average incomes <i>yes</i>	increase in government tax revenue <i>yes</i>
C	increase in the variety of goods and services <i>yes</i>	reduction in exports <i>no</i>
D	increase in unemployment <i>no</i>	reduction in the standard of living <i>no</i>

22 What does the labour force survey (LFS) measure?

(measure of unemployment) ↓

- A the number of workers on the national minimum wage
- B the proportion of women in the labour force
- ☒ C the unemployed population
- D trade union membership

other one is claimant count.

Irrelevant

Proportion of income spent on a commodity

- 23 The table shows the weights allocated to the three items in a Consumer Prices Index (CPI) for two years.

item	weights	
	year 1	year 2
food	30	35
clothing	20	15
housing	50	50
total	100	100

What can be concluded from this data?

- A Clothing prices have fallen. *No Data regarding price*
 B Living standards remain unchanged. *No Data*
 C The average price level is unchanged. *No Data*
 D The proportion of income spent on food has risen. *30 to 35, yes!*

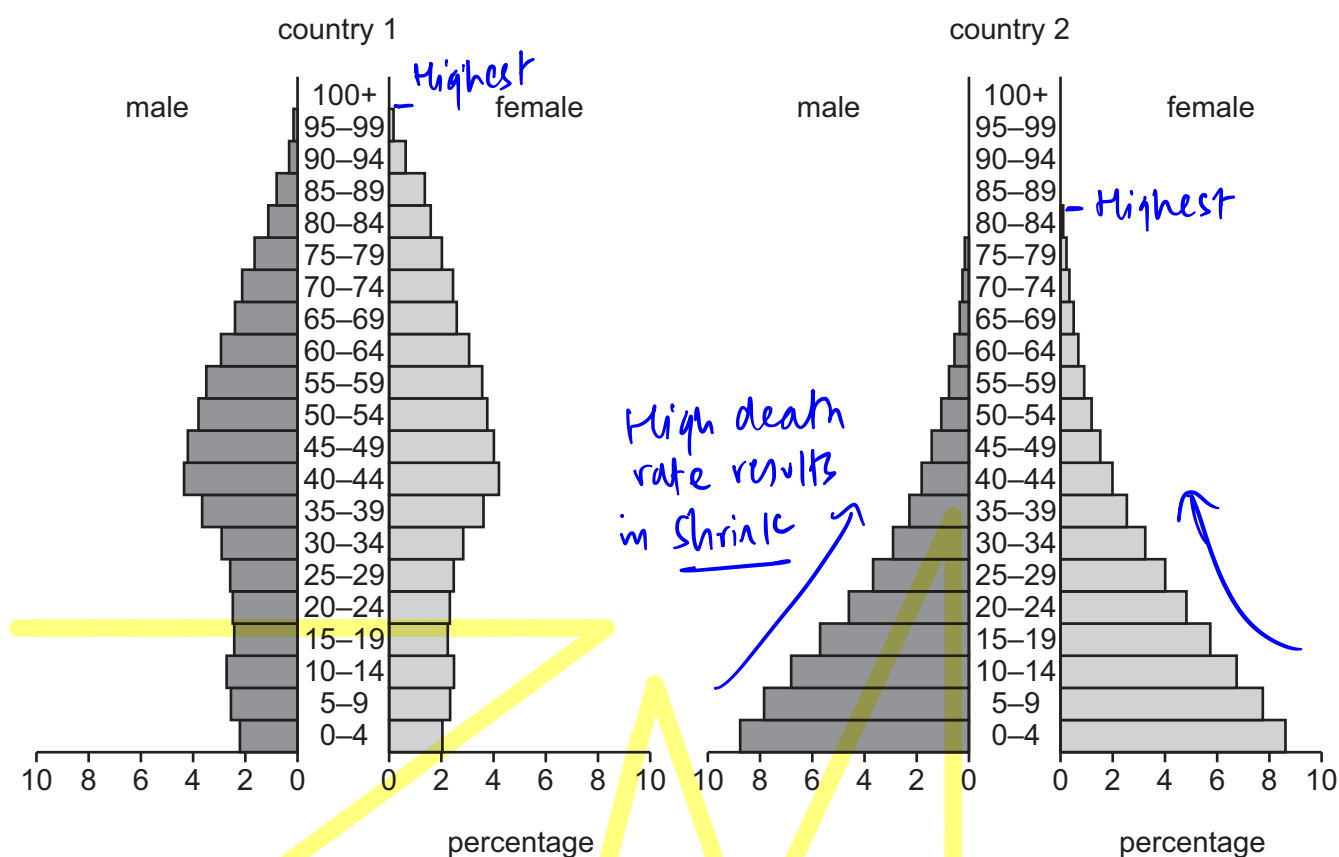
- 24 A government increases the rate of progressive income tax and its spending on hospitals.

What is likely to happen to the distribution of income and to living standards?

	distribution of income	living standards
A	becomes less even	fall
B	becomes less even	rise ✓
C	becomes more even ✓	fall
D	becomes more even ✓	rise ✓

as spent on health care

25 The population pyramids for country 1 and country 2 in a given year are shown.



What can be deduced from these population pyramids?

- A Country 1 has a greater population size than country 2. *Data in %*
- B Country 1 has a higher life expectancy than country 2. *Yes, people living more than 95*
- C Country 2 has a lower death rate than country 1. *See the arrows*
- D Country 2 spends more money on childcare than country 1. *No information*

26 Which country would be classified as the most developed based on the data in the table?

	gross domestic product per year (\$m)	population (millions)
A	600	3
B	700	2
C	12 000	40
D	15 000	100

$$\text{GDP per head} = \frac{\text{GDP}}{\text{Total Population}}$$

200 A
350 B → highest
300 C
150 D

Free trade (no tools of protectionism)

27 What encourages international specialisation?

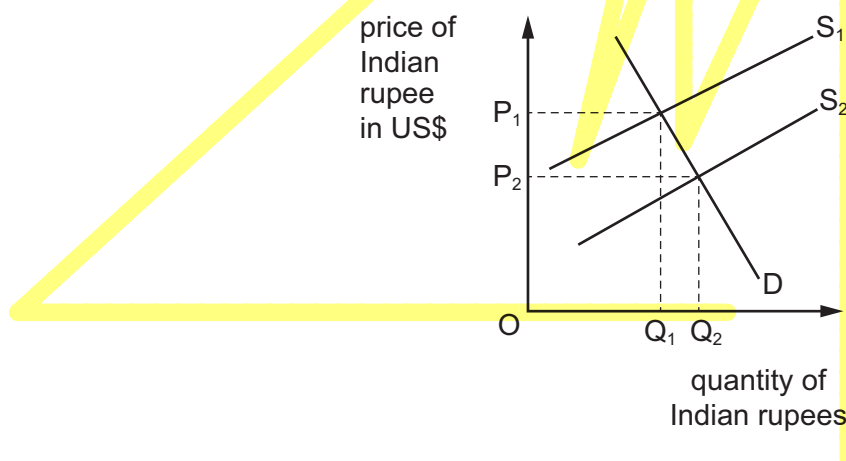
- A a foreign exchange shortage → Doesn't relate to specialization
- B diseconomies of scale (related to large firms, ATC ↑)
- ✓ C free trade
- D quotas (protectionism) → Limit:- Quota

28 A country wants to limit the number of imported cars to a maximum of 100 000 in a year.

Which measure is most likely to achieve this objective?

- A an embargo (Ban)
- ✓ B an import quota → physical limit on the quantity of goods imported
- C an import tariff (Tax)
- D a subsidy (grant)

29 The diagram shows a change in the exchange rate for the Indian rupee against the US\$.



↳ ↑ (indian rupee)

What could cause the change in the exchange rate?

- A a decrease in the rate of inflation in India x ↑, Demand Rs ↑
- ✓ B an increase in demand for imports by people in India M ↑, more payment abroad, Supply ↑
- C greater foreign direct investment into India
- D greater purchases of its own currency by the Indian central bank

↳ Purchase Rs, Demand ↑
Demand ↑ (FDI ↑)

30 Country X records these selected items in the current account of its balance of payments.

- Country X exports \$200m of goods. *+ve*
- Country X imports \$50m of services. *-ve*
- Country Y's citizens working in country X send home to relatives \$25m. *-ve*
- Country X sends country Y \$75m of aid. *-ve*

By how much did the balance on the current account of country X increase?

☒ A \$50m

☐ B \$100m

☐ C \$200m

☐ D \$350m

$$200 - 50 - 25 - 75 = \$50m$$

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